would rather throw away the money rather than deposit it in the banks was clearly misplaced.

Furthermore, the *'black money flushed out' through demonetization was only 3.5 per cent of the ₹3 lakh crore of India's estimated black money*.

Defenders of demonetization claim that black money holders used various dodgy means to convert their black money into white. This is probably true, which is why critics of the move have mockingly called it the largest and most successful 'money-laundering' exercise in the history of India.[7]

Whatever one's views, the undeniable fact is that judged by the data points above, the 2016 demonetization exercise was a complete failure in flushing out black money and did not achieve the Prime Minister's goal of eliminating it.

Given that the RBI spent ₹7,965 crore in 2016–17 and ₹4,912 crore in 2017–18 (i.e., a total of ₹12,877 crores) to print new notes – more than 120 per cent of the ₹10,720 crore 'black money' not returned to the system – this has proved to be both a bad and expensive decision, without even taking into consideration the heavy cost it has imposed on the economy and the Indian people.

The really interesting question is, could India's 2016 demonetization have solved the problem of black money, even if it had been better planned and executed, and the entire ₹3 lakh crore had been flushed out? Prof. Arun Kumar gave a succinct answer:

> You are only demobilizing three lakh crore rupees, at the most, for one year, but black income generation will continue as before. Say, by selling spurious drugs, narcotic drugs, charging capitation fee, under-invoicing and over-invoicing in business and trade and so on. Therefore, cash will again be generated here… In fact, 97 per cent are already the sufferers due to the black economy and now another burden is placed on them, without solving the problem of the black.

Rooting out Corruption